CONFIDENTIAL — FOR QUALIFIED INVESTOR REVIEW ONLY. NOT FOR PUBLIC DISTRIBUTION.

EAGLE MORTGAGE FUND

PROSPECTUS

Page intentionally left blank

Important Information and Confidentiality

The purpose of this confidential Prospectus is to acquaint and familiarize prospective investors with the Eagle Mortgage Pass-Through Fund (the "Fund" or the "Mortgage Fund" or the "Pass-Through Fund") and its proposed mortgage financing and securitization scheme. The Fund seeks to raise capital expenditure financing via a private placement of units.

This Prospectus is not an invitation to the public to subscribe for units in the Fund or its associates. It is strictly an offer inviting the selected addressees to subscribe under the terms and conditions outlined herein, and in accordance with the provisions of the Trust Deed and the Collective Investment Schemes Act [Chapter 24:19].

To properly obtain and read this Prospectus, the recipient is required to sign a Confidentiality Agreement that is provided by the Fund Advisor, Intellego Investment Consultants (Private) Limited (the "Fund Advisor") or the Fund Manager, Eagle Asset Management (Private) Limited (the "Fund Manager"). This Prospectus and any additional information provided by the Fund Advisor and/or the Fund Manager or contained in any Data Room are provided subject to the Confidentiality Agreement.

This Prospectus may not be read by the recipient unless he/she has signed a Confidentiality Agreement furnished by the Fund Advisor or Fund Manager. The Fund Advisor's and Fund Manager's contact information is provided at the bottom of this notice. The recipient should contact the Fund Advisor or Fund Manager immediately to obtain and sign a Confidentiality Agreement or return this Prospectus to the Fund Advisor or Fund Manager.

This Prospectus is confidential and private. Distribution is restricted. It may not be reproduced, copied or replicated in any form including print and digital media without the express and written authorization of the Fund Advisor or Fund Manager. This Prospectus is and always shall remain the exclusive property of the Fund and its Fund Advisor and Fund Manager.

You are responsible for protecting the confidentiality and propriety of the information contained in this Prospectus. Improper disclosure may harm the Fund, and you will be held responsible for any damages resulting from improper disclosure on your part.

Should it become necessary to present this Prospectus to third parties as part of a due-diligence investigation or to obtain financing, the recipient should advise the third parties that this Prospectus is confidential and that a Confidentiality Agreement has been signed to obtain it. The recipient is responsible for maintaining and protecting the confidentiality of this Prospectus and that obligation extends to the recipient's employees, advisors, representatives, agents and any other third parties who subsequently receive this Prospectus and the information contained herein.

Forward Looking Statements

This Prospectus may include certain "forward-looking statements" and "forward-looking information" under applicable securities laws. Except for statements of historical fact, certain information contained herein constitutes forward-looking statements. Forward-looking statements are frequently characterised by words such as "plan", "expect", "project", "intend", "believe", "anticipate", "estimate", and other similar words, or statements that certain events or conditions "may" or "will" occur.

Forward-looking statements are based on the opinions and estimates of the Fund Manager at the date the statements are made and are based on several assumptions and subject to a variety of risks and uncertainties and other factors that could cause actual events or results to differ materially from those projected in the forward-looking statements. Assumptions upon which such forward-looking statements are based include that all required third party regulatory and governmental approvals will be obtained. Many of these assumptions are based on factors and events that are not within the control of the Fund and there is no assurance they will prove to be correct. Factors that could cause actual results to vary materially from results anticipated by such forward-looking statements include changes in market conditions and other risk factors discussed or referred to in this announcement and other documents filed with the applicable securities regulatory authorities.

Although the Fund has attempted to identify important factors that could cause actual actions, events, or results to differ materially from those described in forward-looking statements, there may be other factors that cause actions, events or results not to be anticipated, estimated, or intended. There can be no assurance that forward-looking statements will prove to be accurate, as actual results and future events could differ materially from those anticipated in such statements. The Fund undertakes no obligation to update forward-looking statements if circumstances or management's estimates or opinions should change except as required by applicable securities laws. The reader is cautioned not to place undue reliance on forward-looking statements.

Investor Enquiries

This Prospectus does not purport to provide all the information the recipient may require in order to evaluate an investment in the Fund. Recipients should make their own enquiries and evaluations they consider appropriate to verify the information contained in this Prospectus and to determine the suitability of an investment in the Fund (including regarding their investment objectives, financial situation, and particular needs) and should seek all necessary financial, legal, tax and investment advice. The Fund Advisor represents the Fund. It is expressly understood that the Fund Advisor is not an agent or representative of any prospective investor or recipient of this Prospectus and that the Fund Advisor is not acting and shall not act as a fiduciary of the investor(s). Prospective investors are advised to seek and obtain the counsel of competent professionals on all matters related to this offer including but not limited to legal, tax, accounting and financial advice.

No Recommendation

The provision of this Prospectus is not and should not be considered as a recommendation in relation to an investment in the Fund or that an investment in the Fund is a suitable investment for the recipient. Investors should note that because investments in securities can be volatile and their value may decline as well as appreciate, there can be no assurance that the Fund will be able to attain its objective or that its securities, when redeemed/sold, will be worth more than when they were purchased. The principal risk factors associated with investment in the Fund are set out in the section of this prospectus titled "Investor Considerations".

Additional Information

All communication regarding this Prospectus and requests for additional information should be directed to the Fund Advisor or Fund Manager:

Intellego Advisory Services

SECZ4513V

22 Arundel Road,

Alexandra Park,

Harare, Zimbabwe

Eagle Asset Management

SECZ3407A

1st Floor, Block D, Smatsatsa Offfice Park

Borrowdale

Harare, Zimbabwe

Corporate Directory

Fund Manager	**Eagle Asset Management (Private) Limited** SECZIM Registration No. **SECZ3407A** Block D, 1st Floor, Smatsatsa Officer Park Borrowdale, Harare
Trustee	**CBZ Bank Limited** 60 Kwame Nkrumah Avenue, Harare, Zimbabwe
Fund Advisors	**Intellego Investment Consultants (Private) Ltd** SECZ Registration No. **SECZ4513V** Block C, 22 Arundel Road Alexandra Park, Harare
Legal Advisors	**Hezel Edward Walter Corporate Lawyers** Legal Advisors Block B, 22 Arundel Road, Alexandra Park, Harare
Auditors	**Kreston Zimbabwe** **PAAB Firm Registration No. Z10068** Ground Floor Block A Smatsatsa Office Park Borrowdale, Harare
Mortgage Broker **[TBA]**	**TBA**

Definitions and Interpretations

Annuity Obligations	Regular payout commitments (e.g., pensions) that align with the Fund's monthly income distributions.
Collateral Liquidation	The process of selling repossessed properties to recover losses from defaulted mortgages.
Collective Investment Schemes Act or CIS Act	The Collective Investment Schemes Act [Chapter 24:19] as amended, together with any regulations promulgated in terms thereof, being the legislative framework in Zimbabwe that governs the formation, management, and operation of pooled investment vehicles, such as mutual funds, unit trusts, and Real Estate Investment Trusts (REITs), ensuring transparency and investor safeguards.
Forward-Looking Statements	Projections about the Fund's performance, subject to risks and uncertainties (see disclaimer in this Prospectus).
Issuer	The Eagle Mortgages Pass-Through Fund itself, which issues units to investors.
Eagle Mortgages Pass-Through Fund	A Collective Investment Scheme (CIS) that pools investor capital to acquire residential stands, and finance residential mortgages in Zimbabwe, offering returns through securitized cash flows.
Mortgage-Backed Securities (MBS)	Fixed-income securities backed by pooled mortgage loans, providing investors with monthly interest payments.
Peri-urban Areas	Transitional zones between urban and rural land, targeted for affordable housing due to lower costs and high demand (due to urbanization).
Public-Private	Collaborations between government and private entities (e.g., land

Partnerships (PPP)	servicing projects) to address housing shortages.
SECZ or the Commission	Securities and Exchange Commission of Zimbabwe, a statutory body established in terms of the Securities and Exchange Act [Chapter 24:25] for the purposes of inter alia, regulating the marketing of securities and investment of securities In Zimbabwe.
Securitization	The process of pooling mortgages into tradable securities (e.g., MBS) to redistribute risk and attract capital.
Trustee	CBZ Bank Limited - an independent entity safeguarding investor interests by overseeing the Fund Manager's adherence to the Trust Deed and regulations.

Table of Contents

1. Executive Summary

The Fund	The Eagle Mortgage Fund is an open ended, Collective Investment Scheme established through a Trust Deed and will be registered with the Securities and Exchange Commission of Zimbabwe in terms of the Collective Investment Schemes Act (Chapter 24:19).
Fund Manager	Eagle Asset Management Company (Private) Limited
Trustee	CBZ Bank Limited
Fund's Principal Activity	Origination and securitization of residential mortgages
The Investment Offer	The Fund is offering prospective investors an opportunity to invest in units of the Fund, via a private placement.
Target Investors	Pension Funds, Insurance Funds, Impact Development Finance Institutions, and other institutional investors.
Addressable Market for Residential Mortgages	• Beneficiaries of Pension and Insurance Funds; • Zimbabwean residents especially in the previously excluded low-to-middle income brackets; • Zimbabweans in the Diaspora; and • Any other class of persons which the Fund might deem necessary.
Fund Key Objectives	1. To provide affordable access to housing finance options to prospective homeowners seeking serviced land parcels. 2. To augment member beneficiation for contributing members of Insurance and Pension Funds, without compromising return accruing to the Insurance and Pension Funds. 3. To offer investors a distinct avenue for portfolio diversification, specifically into an asset class that blends residential real estate and fixed income. 4. To deliver consistent and stable income distributions to investors,

	originating from a fully collateralized investment vehicle.
Investment Strategy	The Fund will invest in secured mortgage receivables, primarily arising from the sale of serviced stands, originated in compliance with the Trust Deed and Rules. The Fund may acquire mortgage receivables from other entities where necessary in accordance with the trust deed.
Return Model	Income from mortgage receivables shall be passed directly through to Unitholders after expenses and reserves, in accordance with the Trust Deed. The manager will ensure at least 75% of the net income is distributed to participants.
Principal	The principal paid from mortgage pools will be reinvested at market rates and will also be used for redemption of units.
Mortgage Tenures & Rates	The weighted average tenor of loans shall not exceed fifteen (15) years, with weighted average loan-to-value not exceeding seventy-five per centum (75%) at origination, and no single loan exceeding ninety per centum (90%) LTV. Interest and principal repayments shall be structured on a full amortisation basis.
The Market Opportunity	Growing national housing backlog estimated to range from 1.3 – 2 million units and proliferation of informal settlements being precipitated by limited access to affordable financing options. Presents an opportunity for a regulated vehicle that provides and broadens affordable housing financing options especially to the underserved income brackets.
Investment Attractions	• Dual member beneficiation • Collateralized, stable and predictable returns • Value presentation • Portfolio diversification • Sustainability and impact

Investment Exit	Investors can potentially exit through: 1. Disposing or redeeming units through the Fund Manager during the Trading Day; or 2. Selling shares to investors on the secondary market, subject to registration of transfer of units by the Fund Manager and Trustee; or 3. Transferring ownership, through the Fund Manager and Trustee, to a third party;
Key Risks	• Collection and Default Risks • Interest Rate and Prepayment Risks • Liquidity Risk • Legal Risk

Summary Terms of the Offer of Units

Issuer	Eagle Mortgage Fund
Instrument	Units of the Fund
Investors	Pension and Insurance Funds, Impact Development Finance Institutions, other Institutional Investors
Purpose	Financing acquisition and origination of mortgages receivables.
Subscription Target	Minimum of **10,000 (Ten Thousand United States Dollars Only)**
Subscription Opening Date	1 October 2025

Closed Date	Open-ended
Original Purchase (Issue) Price	The Units shall be issued at a Face Value of USD1.00 per unit. Facilitation fee of 1% of subscribed amount upon subscription will be charged.
Currency of Denomination	Units are denominated in United States Dollars (USD)
NAV Calculation	Daily based on IFRS fair value of loan book, stand inventory, and cash.
Credit Life / Mortgage Protection Insurance	All borrowers will be covered by insurance to protect the Fund against death, disability, or terminal illness risks
Liquidity Buffer	Fund will also invest in near cash instruments for liquidity and distributions management.
Redemption Terms	Investors can redeem units quarterly with 30-day notice. • All investments have 12 months lock-in-period. • Secondary trading allowed, subject to Trustee transfer registration.
Exchange Listing	The units of the Fund shall not be listed on a securities exchange in the short to medium. To unlock liquidity on secondary market the fund maybe listed in the future.

2. Zimbabwe Housing Market Overview

2.1 Introduction and Background

Zimbabwe's residential property market is undergoing a structural transformation, shaped by shifting demographics, urbanization trends, and evolving economic and policy dynamics. The demand for housing, both for owner occupation and rental purposes, continues to rise steadily, underpinned by population growth, internal migration, diaspora investment, and a changing socio-economic landscape.

As of 2024, Zimbabwe's population was estimated at 17 million, with over 5.7 million people (33.6%) residing in urban areas, up from 32.4% in 2017 according to the UN World Urbanization Prospects. This trend continues to drive demand for housing in key urban centers such as Harare, Bulawayo, Gweru, and Mutare, where employment opportunities, education, and public services are concentrated. However, formal housing supply remains critically constrained. The national housing backlog is estimated to exceed 1.5 million units, with Harare alone accounting for more than 55% of this shortfall (Ministry of National Housing and Social Amenities, 2023). Official urban housing waiting lists also indicate a backlog of approximately 2 million units, reflecting a persistent supply-demand imbalance.

Government efforts to address the housing backlog include the Zimbabwe National Human Settlements Policy (ZNHSP), launched in 2020, which targets the delivery of 220,000 housing units by 2025. This policy promotes densification, serviced land, and public-private partnerships. However, its implementation has faced challenges stemming from infrastructure deficits, financing constraints, and regulatory inefficiencies. Meanwhile, the Government has sought to liberalize planning regulations to attract developers aiming for returns of 25% or more. Despite these efforts, the housing supply remains critically inadequate to meet the rising demand, especially in the context of inflationary pressures that erode purchasing power and a fragile mortgage market which limits access to affordable financing.

Access to housing finance remains limited due to short-term deposit structures in the banking sector and currency conversion risks, resulting in affordability constraints for prospective homeowners. This has prompted a shift towards peri-urban residential developments, especially among the diaspora and local citizens seeking titled land with basic infrastructure outside traditional city centers. Stand-alone developments and self-built housing are proliferating on the outskirts of urban areas where land is more accessible and affordable.

New sub-markets are also emerging, including multi-family rental properties such as cluster homes and flats for the middle-income segment, and owner-occupied homes in established suburbs. Despite economic volatility, the residential sector has remained relatively resilient, delivering average gross rental yields of 8% – 10%, which compares favorably with other Sub-Saharan African markets. The sector is increasingly viewed as a hedge against inflation and a source of stable annuity income for long-term investors.

Diaspora remittances have also played a critical role in sustaining market activity. The 2022 Population and Housing Census reported 908,913 Zimbabweans living abroad, with 85% residing in South Africa. According to the Reserve Bank of Zimbabwe, diaspora remittances reached US$2.153 billion in 2024 - a 19.3% increase from 2022 - accounting for 16.2% of foreign currency receipts and approximately 6% of GDP. This report provides a comprehensive analysis of Zimbabwe's residential real estate sector, examining policy developments, regional housing trends, residential typologies, pricing dynamics, and the stand market. It also highlights emerging risks and opportunities for investors, developers, financial institutions, and policymakers as they navigate a market characterized by both deep structural challenges and compelling long-term potential.

2.2 State of the housing sector by town

2.2.1 Harare

As the capital and economic nerve centre, Harare represents the largest residential property market in Zimbabwe. Demand is high across all income brackets, with significant backlog pressures driving informal settlement growth and high-density expansion. Northern suburbs such as Borrowdale, Mount Pleasant, and Highlands remain prime residential zones, commanding premium prices and drawing most institutional residential investments. Meanwhile, new developments are emerging in outskirts areas like Mt Hampden, Ruwa and Hatcliffe Extension etc. However, infrastructure remains a major constraint, and much of the city's growth is either unserviced or under-serviced. Harare alone accounts for nearly 50% of the national housing backlog, making it both the epicenter of the housing crisis and thus a key area of opportunity.

2.2.2 Bulawayo

Zimbabwe’s second-largest city has experienced relatively slower housing demand compared to Harare, partly due to slower economic activity and lower population growth. However, demand remains strong in established suburbs such as Hillside, Ilanda, and Khumalo, with ongoing development in low-income areas like Cowdray Park and Emganwini. Bulawayo has benefitted from better town planning and a relatively organized housing allocation system, but financial constraints have stalled expansion of public housing and infrastructure services. The city presents a more affordable entry point for residential developers and individual buyers alike, with scope for densification and in-fill projects.

2.2.3 Gweru

As a central Midlands city and educational hub, Gweru's housing market is driven by civil servants, students, and middle-income households. Areas such as Mkoba and Senga cater to low- to-middle income buyers, while high-density suburbs continue to expand to accommodate internal migration. However, the city suffers from similar challenges seen elsewhere i.e., limited access to housing finance, infrastructure backlogs, and land disputes. Gweru’s relatively affordable land prices make it attractive for speculative land purchases and medium-scale residential schemes.

2.2.4 Mutare

Nestled near the Eastern Highlands, Mutare has a small but active residential property market. Demand is concentrated in low- to middle-income brackets, with significant housing pressure in areas like Chikanga and Hobhouse. High-income suburbs such as Murambi and Morningside are well established but show limited new development due to topographical constraints and limited land supply. The city faces serious infrastructure gaps, including intermittent water supply and limited sewer coverage in newer expansions, which pose investment risks. Nonetheless, the proximity to Mozambique and growth of cross-border trade have stimulated construction activity and made the city increasingly relevant from a regional logistics and housing perspective.

2.2.5 Comparative Analysis of Urban Housing Challenges in Major Zimbabwean Cities

City	Housing Backlog	Price Range (Stand)	Key Challenge
Harare	500 000	$12-500k	Rapid urbanization, land barons and overcrowding
Bulawayo	150 000	$10-100k	Water shortages, limiting new development and making housing less accessible
Mutare	40 000	$12-150k	Poor infrastructure hampering both housing supply and quality
Gweru	50 000	$8-80k	Limited financing restricting home ownership

2.3 Harare housing master plan

The 20-year Harare Master Plan (2024–2044) is presented as a roadmap to elevate Zimbabwe's capital into a "World Class City" (in line with the City's Vision 2025). It targets the city's surging housing demand and urban growth by promoting densification (more housing on less land) rather than unchecked sprawl. The plan explicitly aims to improve land-use planning, transportation networks, infrastructure (water, sanitation, energy) and public services, alongside environmental stability.

The plan's emphasis on compact "cluster home" developments in established neighborhoods (rather than expanding the city's footprint) reflects modern planning principles. This could make better use of scarce land and support public transit. The Master Plan includes proposals to upgrade (and regularize) long-standing high-density areas (e.g. Mbare, Glen View), extending services and securing land tenure. Aligning with national policy (title-deed programs), this can improve living conditions and unlock housing finance in former "slum" districts.

2.3.1 Urbanization of Harare: Peri-Urban Farmland to Residential Zones

Harare's urban footprint has expanded rapidly in recent years, driven by population growth and a persistent housing deficit. A notable trend is the conversion of peri-urban farmland on the city's outskirts, particularly in areas like Hatfield, Borrowdale, and Mt Hampden, into residential developments. These farmlands, often underutilized or informally occupied, are increasingly being subdivided for gated communities, cluster homes, and low- to middle-income housing schemes.

While this transition responds to growing demand for urban housing stock, it raises concerns around unregulated sprawl, loss of arable land, and inadequate infrastructure planning. Many of these developments emerge without prior investment in roads, sewage, or water systems, increasing pressure on already strained municipal services. For institutional investors and developers, this creates both opportunity and risk: land is often cheaper and more readily available on the periphery, but infrastructure deficits and tenure complexities may complicate project feasibility and valuations.

2.4 Challenges Facing First-Time Homebuyers Versus Existing Homeowners

The market conditions for first-time homebuyers differ significantly from those for existing homeowners. First-time buyers face greater barriers due to limited access to long-term financing, high property prices relative to income, and job market instability. The majority rely on personal savings or informal financing, as Zimbabwe's mortgage market remains underdeveloped, and interest rates are high. Additionally, formal employment is shrinking, especially for younger buyers, making consistent repayments difficult.

On the other hand, individuals who already own homes—often middle-aged or older—tend to have more financial security, existing equity, or rental income to leverage for additional purchases. Many acquired property before the sharp currency depreciations and housing inflation, putting them in a stronger position in today's market. As a result, this group is more active in the upmarket and investment segments, while first-time buyers are pushed to lower-income areas, unserviced stands, or the informal housing market.

2.5 Residential Stands

Residential stands (undeveloped land) are often significantly cheaper than completed homes, with prices ranging from USD $8,000 to $25,000 depending on location and servicing. This affordability is largely due to the absence of construction and infrastructure costs. Stands offer flexibility, allowing buyers to build incrementally, which appeals to lower- and middle-income households.

Areas like Stoneridge, Southview, Damofalls, and parts of Ruwa have seen a rise in such developments.

However, buying stands carries notable risks. Many are sold without proper title deeds by informal land sellers, especially in peri-urban zones. A lack of water, sewer, and electricity connections is common, and property value often depends on how surrounding land is developed. Poor quality neighboring structures or unserviced environments can suppress long-term returns. Furthermore, some stands fall outside approved municipal plans, exposing buyers to legal and regulatory issues.

2.6 The Market Opportunity and Feasibility

Zimbabwe's chronic housing finance gap presents a unique opportunity to deploy a regulated, scalable, and impact-driven housing investment vehicle that directly addresses structural inefficiencies in the residential real estate market. The key enablers for this vehicle's success and attractiveness to investors include:

i. **An underserved population segment** of low- to middle-income earners, who currently lack access to mortgage financing, rely on informal cooperatives, or resort to unregulated stand purchases. Our vehicle targets this demographic with a structured, transparent financing solution that meets real demand at scale.

ii. **A formalized "buy-stand-and-build" model**, which enables beneficiaries to acquire legally titled, serviced residential land with flexible financing options for incremental home construction. This approach preserves affordability while ensuring regulatory compliance and asset security.

iii. **Regulatory oversight and institutional governance** distinguish our offering from informal housing schemes. Our structure operates under a regulated investment framework, ensuring fiduciary integrity, compliance with housing policy, and investor protection.

iv. **Alignment with national housing policy goals**, particularly the Zimbabwe National Human Settlements Policy (ZNHSP), which prioritizes serviced land delivery, densification, and public-private partnerships. Our model complements these efforts, positioning the vehicle to benefit from policy incentives and future government-backed programs.

v. **Risk mitigation through tenure security and structured development controls**—by offering titled land and working with approved service providers, the vehicle reduces participants' exposure to informal market risks (e.g. land barons, disputes, or resale constraints) while promoting sustainable urban growth.

This innovative financing solution is positioned to unlock housing development in a market starved of formal capital, while delivering stable returns and measurable impact to investors.

3. Eagle Mortgage Fund Information

3.1 Fund Background

The Eagle Mortgage Fund (the "Eagle Mortgages Pass-Through Fund" or "Mortgage Fund" or the "Fund") is an open ended, Collective Investment Scheme, established through a Trust Deed and will be registered with the Securities and Exchange Commission of Zimbabwe ("SECZ" or the "Commission") as an Internal Scheme in terms of the Collective Investment Schemes Act (Chapter 24:19) (the "Act"). The Fund's principal object is the origination and securitization of residential mortgages. Zimbabwe faces a significant housing backlog and the proliferation of informal settlements, largely driven by a scarcity of affordable housing finance. Against this backdrop, the proposed Mortgage Pass-Through Fund aims to address this by providing potential homeowners with residential stands through accessible mortgage products, simultaneously offering investors stable returns and capital preservation derived from the securitization of these mortgages.

3.2 Mortgage Fund Offering

The Fund offers a dual value proposition: it provides investors with a relatively low-risk, fixed-income investment in the residential real estate sector via its Eagle Mortgages Pass-through Fund. Concurrently, it facilitates access to affordable housing finance for prospective homeowners through mortgages. The Fund securitizes a diverse portfolio of mortgages, characterized by varying terms, maturities, and repayment patterns, and subsequently issues a homogeneous investment instrument (a unit of the Fund) to investors, whose return is a direct pass-through from the underlying mortgage portfolio.

The Fund's investment strategy is intrinsically linked to comprehensive market research and rigorous risk analysis, enabling it to identify compelling opportunities across diverse geographical locations, income brackets and varying economic cycles. The overall approach is firmly rooted in robust ESG principles. The key objectives of the Fund include:

1. To provide affordable access to housing finance options for property developers and prospective homeowners seeking serviced land parcels.

2. To augment member beneficiation for contributing members of Insurance and Pension Funds, concurrently generating sustainable returns for these institutional investors (**dual beneficiation**).

3. To offer investors a distinct avenue for portfolio diversification, specifically into an asset class that amalgamates the characteristics of residential real estate and fixed income instruments.

4. To deliver consistent and stable income distributions to investors, originating from a fully collateralized investment vehicle.

3.3 Principal Investment Strategy

The Fund aims to achieve its objectives by investing in mortgages offered to Zimbabweans residing locally and those in the diaspora who wish to own residential assets back home (Zimbabwe). Utilizing proceeds from the issuance of its units, the Fund will acquire fairly priced, serviced residential stands (or, alternatively, acquire and service land banks at a lower cost via a dedicated development Special Purpose Vehicle). These titled stands will then be sold to prospective homeowners with flexible terms such as mortgages, and cash. The aggregated return generated from this pool of mortgages will be passed directly through to investors, hence the designation "Mortgage Pass-Through Fund."

3.4 Investment Criteria

The Fund's investment strategy is governed by the following key conditions:

1. **Long-Term Horizon:** All investments made by and for the Fund are predicated on a long-term outlook.

2. **Portfolio Composition:** The investment portfolio will primarily consist of residential mortgages, cash and an inventory of residential stands that are in the process of being sold.

3. **Location Selection:** Investments in both stands and mortgages will be strategically concentrated in locations demonstrating high demand for residential stands coupled with limited availability of existing financing options.

4. **Affordable Origination:** A core emphasis is placed on acquiring stands at commendably low prices (or developing land banks at minimal cost) to facilitate their subsequent on-sale to potential homeowners at fair market prices. This approach is crucial for enabling the

Fund to originate genuinely affordable mortgages.

3.5 Target Investors

The Fund is designed to suit the needs of pension funds and insurance investors burdened by annuity obligations, who prioritize the generation of consistent and predictable periodic income alongside long-term capital preservation. This vehicle is particularly well-suited for investors with long investment horizons and seeking superior returns when juxtaposed with alternative fixed-income securities, such as government instruments.

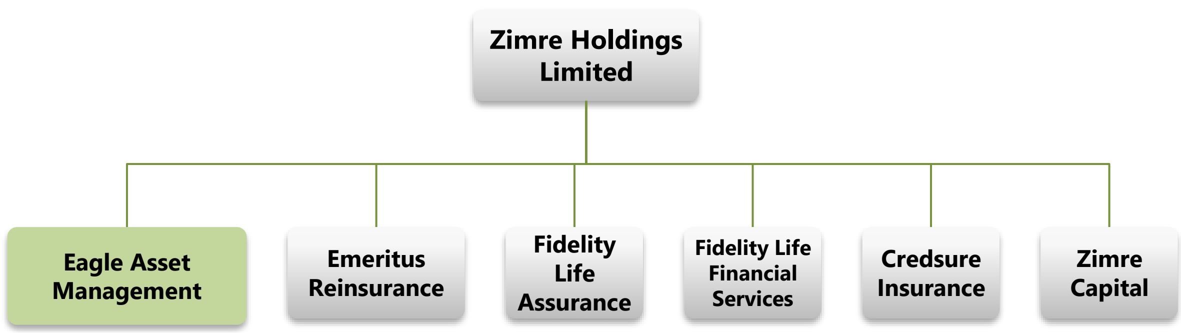
3.6 Geographic Spread

The Fund's investment activities will primarily target opportunities within Zimbabwe, with a focus on urban and peri-urban areas where the demand for affordable housing is significant. Should there be demonstrable demand for residential stands and a corresponding land supply in any given city, the Fund will acquire these stands and facilitate their sale through mortgages and cash to prospective homeowners who prefer that specific locale.

3.7 Governance

3.7.1 Fund Manager

The manager for the Fund is **Eagle Asset Management (Private) Limited ("EAM")**, a company incorporated in Zimbabwe in 1998 as a limited liability company, with company registration number 11200/1998. EAM is licensed by the Securities and Exchange Commission of Zimbabwe (SECZIM) as an Investments Management Company with licence number SECZ3407A. The company is wholly owned by Zimre Holdings Limited (ZHL), a Zimbabwe Stock Exchange (ZSE) listed company.



3.7.2 Fund Manager’s Board of Directors

The following are the directors of Eagle Asset Management (EAM)

Agmos Moyo (Non-Executive Chairman)

Agmos holds B.L. (Hons.) and LL.B. degrees from the University of Zimbabwe and was admitted to practice law in 1991. He has over 30 years of experience in commercial and corporate law practice. Throughout his career Agmos has worked mainly in private sector but consulted for government, international law firms and financial services institutions. His scope of work included various arbitration proceedings including capital raising projects, listings and registration of awards for both local and international clients. Agmos is currently board chairman for Zimbabwe Agriculture Development Trust, Credit Insurance Zimbabwe Limited and Eagle Asset Management.

Patience Dhliwayo (Non-Executive Director)

Patience Bekezela Dhliwayo, holds a B Com (Hon) Finance Degree from the National University of Science and Technology and an Executive MBA from London Business School. She has 26years' experience, 16 of which leading the National Railways of Zimbabwe Contributory Pension Fund (NRZCPF). Her experience spans financial reporting, financial management, treasury investments, equity and bond markets investments as well as risk and strategic management. She has mastered the art of prudently managing and preserving other people's funds in a turbulent economic environment.

Austin Zvidzai (Non-Executive Director)

Austin Zvidzai holds a Bachelor of Accountancy (Honours) Degree from the University of Zimbabwe, Management Development Program Diploma from Manchester University and is a Chartered Accountant (Zimbabwe). With a career spanning over 30 years, he has worked for companies listed on the Zimbabwe Stock Exchange as well as service, manufacturing, construction and the education sectors. He has been responsible for financial management and reporting, treasury functions, as well as strategic management. Austin is the current Chairman of the Board of Directors for Fidelity Life Financial Services (Private) Limited.

Isaac Chimbetete (Non-Executive Director)

Isaac Hawafadzwi Chimbetete, is a Fellow of the Royal Institution of Chartered Surveyors (RICS) registered Estate Agent and Valuer in Zimbabwe in terms of the Regulatory Acts. Isaac is a Chartered Valuation surveyor & Real Estate planning & Development Consultant who holds a Bachelor of Arts (BA) degree - single subject Major in Geography, from University of Zambia (1988), a Master of Philosophy (MPhil) degree in Land Management, University of Reading, UK (1991) and Diploma by the Royal Institution of Chartered Surveyors, General Practice Division (February 1994). Isaac has 29 years post qualification experience in the valuation and real estate Investment appraisals of land and buildings, property developments in the SADC region and sub-Sahara Africa, United Kingdom and the Middle East. He has worked in both private and public sectors and has carried out regional and international assignments.

Bevin Ngara (Managing Director)

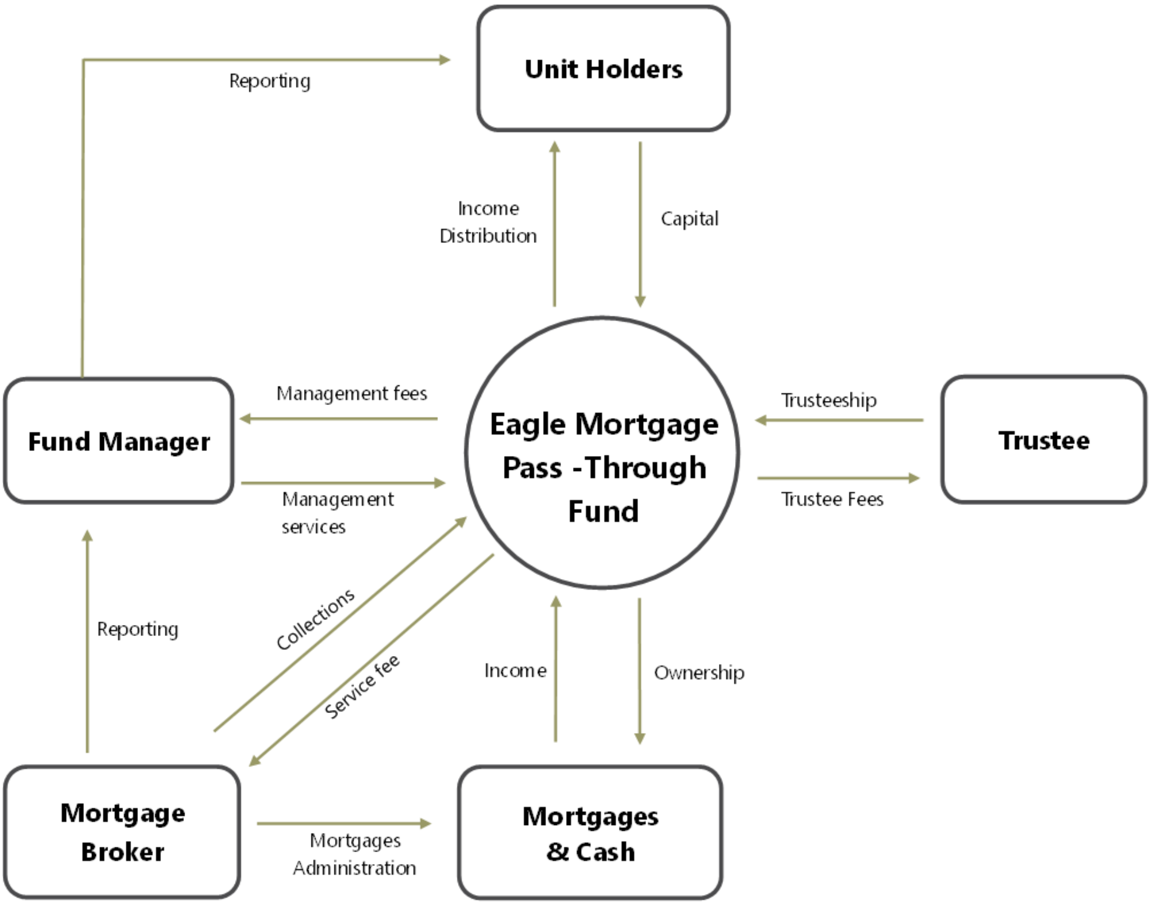
Bevin Ngara, a CFA Charter holder and holder of an MBA from ESMT (Berlin), leads Eagle Asset Management as the Managing Director. He provides strategic leadership and drives the company's vision and an unwavering commitment of delivering exceptional investment solutions to clients. With a wealth of experience in alternative investments and a strong track record of delivering results, Bevin is dedicated to driving the company's growth and ensuring the success of clients' investment strategies. In addition to his role at Eagle Asset Management, Bevin is a board member of a Zimbabwe Stock Exchange (ZSE) listed manufacturing company and serves as the Vice Chairperson for one of the leading Commercial Banks in Zimbabwe. He is a recipient of the Kofi Annan Fellowship and an ESMT Responsible Leaders Fellow, demonstrating his commitment to ethical leadership and sustainability.

3.7.3 Fund Trustee

The trustee shall be CBZ Bank Limited, a company incorporated and registered in Zimbabwe with company registration number 1276/80 and licenced by the Securities and Exchange Commission of Zimbabwe as a Trustee, with licence number SECZ7805T. Its registered office address is 60 Kwame Nkrumah Avenue Harare.

4. Mechanics of the Fund

4.1 Fund Structure



4.2 Product Description

The Mortgage Pass-through Fund is a mortgage-backed investment vehicle wherein the Fund acquires serviced residential stands either directly from the open market or from a dedicated development Special Purpose Vehicle (SPV). Subsequently, the Fund originates mortgages on these stands, extending them to qualifying borrowers across all eligible income brackets. In some cases, the Fund will sell the residential stands on cash with flexible payment terms.

The Fund pools a heterogeneous collection of mortgages, which are then securitized, resulting in the issuance of a homogeneous investment instrument: units of the Fund. Investors participate via subscription to these units. Alternatively, investors may subscribe in-specie, receiving equivalent units.

Proceeds from the issuance of units to investors will be deployed to acquire serviced stands. The stands will then be sold to prospective homeowners or offtakers on a credit basis, formalized through a mortgage arrangement. The mortgages will feature diverse terms and conditions, specifically regarding interest rates, principal repayment schedules, and repayment periods. The weighted average coupon rate anticipated from this underlying pool of mortgages is projected to be between 12% and 18%. The cashflows generated from the underlying pool of mortgages and cash sales will be passed through to investors in the Fund.

4.3 Key Participants

4.3.1 Unitholders

Investors in the Fund comprise pension funds, insurance companies, and other institutional investors seeking exposure to a distinctive underlying asset – a diversified pool of residential mortgages, with the added benefits of enhanced liquidity and reduced risk through securitization. Investors buy units of the Fund with the expectation of receiving consistent interest income without directly bearing mortgages risks. The Fund is particularly suitable for investors who seek to:

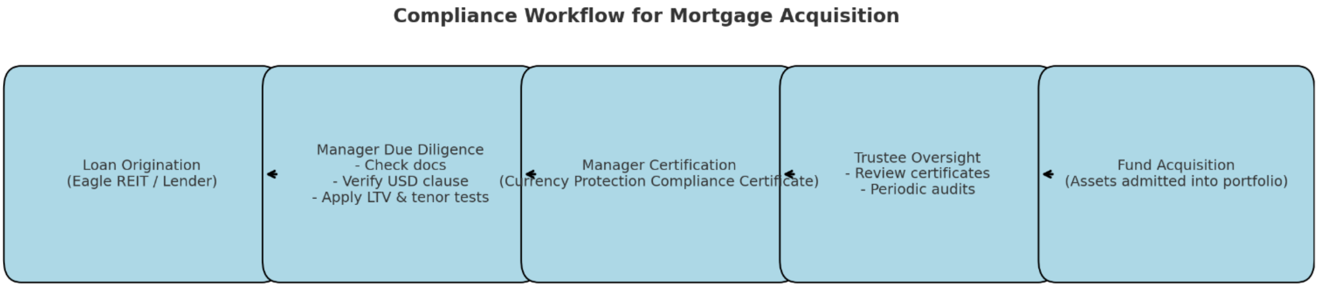
- **Reduce concentration risk** by diversifying their portfolios into residential mortgages, which represent a blend of fixed income and residential real estate characteristics.
- Maintain a relatively **liquid exposure** to what is otherwise an illiquid asset class: residential real estate.
- Achieve a **stable, long-term investment** with the potential for **capital preservation**.
- Realize **higher returns** compared to other fixed-income securities, particularly government instruments.
- Invest in **regulated schemes** that facilitate **member beneficiation** without compromising **return** to the Fund.

4.3.2 Fund Manager

Eagle Asset Management (EAM), as the Fund Manager, shall be responsible for developing and implementing the overall investment strategy for the Mortgage Fund in alignment with the Fund's stated objectives. This includes conducting residential real estate market research, identifying housing needs and prospective investment opportunities, and formulating strategic plans to optimize returns while diligently managing associated risks.

The Fund Manager's roles shall include:

1. **Asset Management:** overseeing the acquisition of residential stands, the origination of mortgages, sale of residential stands, and the continuous monitoring of the overall mortgage portfolio's performance.



2. **Execution of Investment Strategy:** executing the Fund's investment strategy strictly in accordance with the provisions of the Trust Deed. This includes identifying suitable land or serviced stands in areas demonstrating escalating demand and economical pricing, as well as identifying qualified borrowers for mortgage origination.

3. **Fund Financial Performance Reporting:** preparation and submission of comprehensive financial statements to ensure transparency and accountability to all unitholders.

4. **Regulatory Compliance:** Ensuring rigorous adherence to all regulations stipulated by the Collective Investment Schemes Act, the provisions of the Trust Deed, and any other pertinent regulations governing the Fund's underlying business operations, specifically residential mortgage origination and securitization, and property ownership and transfer.

5. **Maintaining open and transparent communication with investors**, providing timely updates on the Fund's performance, details regarding distributions, and promptly informing them of any significant changes to the investment strategy or portfolio composition.

4.3.3 Borrower (Mortgage Borrower)

The Fund strategically targets the following addressable market segments for prospective homeowners or borrowers, as offtakers for the mortgages:

1. **Beneficiaries of insurance and pension funds**: contributing members to these funds benefit from this scheme, as it offers them access to affordable housing finance - generally scarce and prohibitively costly in the market. Simultaneously, their respective pension funds still earn competitive returns, thereby achieving **dual member beneficiation**.

2. **Zimbabwean residents:** the growing lack of affordable housing finance has marginalized low to medium income earners, confining them to rental accommodation with limited prospects of land/homeownership. The Fund, therefore, serves to integrate these previously excluded income classes by providing access to affordable housing finance characterized by a low cost structure and extended repayment periods.

3. **Zimbabweans in the Diaspora**: qualified Zimbabwean individuals residing in the diaspora are afforded the opportunity to access these mortgage products to acquire and own residential stands back home. This group is insulated from the localized monetary developments and volatility, hence contributing to the ringfencing and stability of Fund's foreign currency receipts.

4.3.4 Mortgage Broker

The mortgage broker, typically a bank or financial intermediary, becomes actively involved during the sale of stands to borrowers through a mortgage arrangement. The broker is responsible for the collection of all payments from borrowers as well as the administration of the mortgages portfolio for the entire duration of the mortgages. Mortgage administration or servicing also includes default management and, where necessary, collateral liquidation. The Mortgage broker is compensated with a fixed fee of 2% per annum of the administered portfolio value, as stipulated under the servicing agreement.

4.3.5 Trustee

The Trustee acts as an independent fiduciary responsible for safeguarding the interests of investors in the Fund. The Trustee ensures that the Fund Manager is managing the scheme in accordance with the prescriptions of the Trust Deed, the Collective Investment Schemes Act, and any other relevant regulatory and legislative requirements. The Trustee shall be expected to carry out the following functions:

1. Ensuring that the Manager is managing the scheme in accordance with the provisions of the Trust Deed, the Collective Investment Schemes Act and other relevant regulatory and legislative requirements.

2. Satisfying itself on reasonable grounds that the Manager has maintained and is maintaining sufficient records, including records regarding the calculation of prices at which securities are issued and redeemed.

3. Taking all steps and executing all the documents necessary to ensure that acquisitions and disposals of Assets made by the Manager are completed.

4. Collecting any income due to be paid to the scheme, including the payment of taxes, and to hold such income in trust for the participants in accordance with the Trust Deed.

5. Keeping such records as necessary to enable it to comply with the Trust Deed and to demonstrate such compliance.

4.3.6 Other Participants

4.3.6.1 Fund Advisors

The Fund advisor assists the Fund Manager in structuring the residential mortgages-based instrument (securitization framework); developing the operational and financial model for the Pass-Through Fund (including the pass-through mechanism); formulating the investment policy; and assisting with the raising of capital from investors.

The Fund Advisors shall be **Intellego Corporate Advisory ("Intellego").** Intellego has a bold footprint in structuring collective investment schemes, varying investment instruments and vehicles, and capital raising.

4.3.6.2 Fund's Legal Advisors

The legal advisor assists the Fund Manager in the overall legal formation and constitution of the Fund, ensuring that the Fund's Trust Deed is compiled in accordance with the requirements set out in the Collective Investment Schemes Act for proper registration of the scheme. Further, the legal advisor will be actively involved in the registration, bonding and transfer of title as the Fund acquires assets (stands) and originates mortgages (mortgages loans).

The Fund's legal advisors shall be **Hezel Edward Walter Corporate Lawyers ("HEW").** HEW is led by a team with a considerable wealth of expertise in the field of investment banking, capital markets, securities regulation and real estate.

4.3.6.3 Fund Auditors

The Auditors of the Fund shall be responsible for conducting an independent verification of the accuracy and reliability of the Fund's financial statements and financial reports. This will involve a thorough review of financial statements, supporting documentation, and internal controls to ensure that there are no material errors in the Fund's financial statements. This audit process provides Fund investors with confidence and assurance regarding the performance of the Fund, and concurrently, offers borrowers security in the tenor of their financial arrangements.

The Auditors will also review whether or not the Fund is in compliance with the Trust Deed, Collective Investment Schemes Act, Tax Regulations and other applicable laws, regulations, and policies.

4.3.7 Fund Fee Structure

Fee Type	Rate	Notes
Management Fee	1.5% p.a.	Fees will be charged quarterly on AUM.
Servicing Fee	2.00% p.a.	Paid to mortgage broker/servicer. 2% per annum of the mortgage outstanding balance. Charged quarterly.
Facilitation Fee/ Arrangement fee	2.00%	Deducted from new investments into the fund upfront for setting up the fund.
Trustee fee	0.01% p.a.	Paid trustees for the trusteeship services. 0.01% of the AUM. Charged quarterly.

4.3.8 Financial Illustration of the Fund

The financial illustration of the Mortgage Pass-Through Fund models a $25 million portfolio with mortgage book diversified across high-density (50%), medium-density (35%), and low-density (15%) residential segments. The portfolio is evenly spread across 5, 10, and 15-year tenures, with corresponding mortgage rates of 12%, 15%, and 18%, generating an estimated gross annual interest income of approximately $3.4 million. After accounting for key fund-level fees—including management (1.5% p.a.), servicing and other costs (2.0% p.a.), trustee (0.01% p.a.), and a performance fee of 10% on returns above an 8% hurdle—the net return to the Fund is estimated at $2.4 million, translating to a net effective yield of 10%. This comfortably supports a pass-through rate of above 8% for unitholders, leaving a positive margin for consistent performance-based alignment. The model also incorporates a 2% facilitation fee on new investments and lock-in-period of twelve (12) months for early exits, enhancing fund stability and operational cost recovery.

Fund Portfolio	Market Value
Mortgages	US$22,477,500
Stands	US$1,250,000
Cash	US$1,272,500
Total	**US$25,000,000**
Annual Interest Income	**US$3,371,625**
Average Tenure (Years)	10
Average Interest rate %	15%
Average Mortgage	US$10,000.00
Number of Mortgages	2248
Monthly Scheduled Payment	**US$161.33**

Fee Type	Amount (USD)
Management Fee (1.5%)	US$375,000
Servicing Fee and other costs (2.0%) on Mortgage Portion	US$450,000
Trustee Fee (0.01%)	US$2,500
Performance Fee on return >8%	US$137,163
Total Annual Fees	**US$964,663**
Net Return	**US$2,406,963**
Net Yield (%)	10%

5. Investor Considerations

5.1 The Investment Opportunity and Objectives

Prospective Investors are presented with a compelling opportunity through a Collective Investment Scheme/Fund that originates and securitizes residential mortgages. An investment in the Fund offers participants dual asset class exposure, blending the attributes of fixed income with residential real estate as the Fund combines:

i. **Mortgage lending** – the Fund maintains a pool of residential mortgages with fixed income attributes, generating regular cashflow through ongoing loan servicing; and

ii. **Residential Real Estate** – the underlying sector for the fixed income portfolio (mortgages) is the residential real estate market, an expanding market characterized by significant unmet demand. This gives investors exposure to a resilient and continually growing residential real estate market.

Investing in the Mortgage Pass-Through Fund presents a compelling value proposition, deliberately designed to achieve the following key financial and strategic objectives:

1. **Dual Member beneficiation** – Primarily, the Fund is optimally suited for institutional investors requiring a back-to-back arrangement, where their participation on the investment side can simultaneously afford their underlying beneficiaries access to affordable residential mortgages, without compromising the returns accruing to the Fund itself.

2. **Portfolio Diversification** – the Fund offers institutional investors distinct opportunities to diversify their portfolios:

    a. within the real estate sector, into residential (housing) real estate;

    b. into Fixed Income space, without necessarily shifting focus from the real estate sector; and

    c. into a fixed income investment collateralized by a pool of residential mortgages.

3. **Sustainability and Impact** – the proposed Fund is poised to deliver tangible ESG impact,

actively addressing the national housing backlog, alleviating the proliferation of informal settlements and contributing to sustainable development by broadening access to affordable housing financing options.

5.2 Investment Attractions

An investment in the Mortgage Pass-Through Fund presents investors with a unique opportunity to get exposure to an alternative asset with very distinct characteristics and a unique combination of advantages:

Stable Revenue Stream	The Fund has the potential to deliver a predictable and consistent revenue stream, underpinned by a collateral pool of residential mortgages. This operational certainty translates into sustained interest income to unitholders, hence enhancing investment security.
Collateralized Returns	Apart from a USD referencing that provides a hedge against local currency fluctuations, the residential mortgages are collateralized, minimizing default risk and enhancing investment security for investors.
Growth Potential	The Fund has potential to expand its offering to all cities and towns, increasing both its overall size and the diversity of its mortgage portfolio. Investors will also benefit from improving credit quality across a broader base of borrowers.
Value Preservation	Unlike conventional fixed income investments, the MBS units in this Fund are specifically structured to preserve and transfer real value across different periods, effectively insulating them from adverse macroeconomic developments.

Environmentally & Socioeconomically Impactful Investment	The Fund's proposed market offering to potential homeowners directly addresses the growing housing backlog and the proliferation of informal settlements. By intentionally including the previously excluded or marginalized groups, the Fund is poised to accelerate inclusive and equitable real economic growth. These efforts directly align with key socio-economic priorities outlined in NDS1, SDGs and AU's Agenda 2063.
Diversification	An alternative asset, offering investors stable, uncorrelated returns compared to traditional investments. This distinct characteristic serves as a powerful diversification tool, enabling investors to mitigate portfolio risk and enhance overall returns by reducing reliance on convectional market fluctuations.
Incentives	Given its strong ESG profile and potential contribution to addressing the significant national housing backlog and alleviating the sprouting informal settlements, the Fund can attract substantial government incentives and impact funding. Investors could benefit through higher earnings and (or) compliance benefits.

5.3 Investment Risks

As with any investment undertaking, it is crucial to acknowledge that Mortgage Pass-Through Fund is subject to risks that could potentially impact both operational performance and investor returns. These may include:

Operational Risk	
Development Risk	The Fund may fail or experience delays in completing the servicing of stands to a marketable state. This delays mortgage receivables origination and subsequent revenue collections, potentially causing the Fund to not

	pay dividends to unitholders. *Land servicing operations will be done through the development SPV. The Fund will primarily hold stock of already serviced stands, with the majority earmarked for allocation to borrowers identified and qualified ex-ante.*
Credit Risk	
Collection Risk	The Fund may incur difficulties in (timely) collecting all or part of the outstanding principal and interest from borrowers stemming from factors such as deteriorating credit quality of borrowers or unforeseen external events. Such disruptions can impair the cash flow pass-through mechanism from borrowers to investors, potentially leading to the Fund failing to pay dividends to unitholders. *The Fund will seek the services of a specialized mortgage servicer (broker) to collect repayments from borrowers and effectively monitor mortgage performances.*
Default Risk	Borrowers may default on their mortgage servicing through missed scheduled repayments or failure to settle outstanding balances. Such defaults can significantly distort the Fund's cash flow matching mechanics, potentially causing the Fund to not declare dividends to unitholders. *The Fund will implement an efficient risk management framework that includes early default triggers, careful screening of all prospective borrowers, and close, continuous monitoring of all bonded properties.* *To further protect the Fund and its investors, mortgage loans issued to buyers will be supported by credit life or mortgage protection insurance. This helps manage the risk of default by covering the outstanding loan in case of the borrower's death, disability, or other covered events.*
Market Risk	
Interest Rate	The underlying mortgage portfolio, being a pool of fixed income

Risk	investments, is inherently sensitive to changes in market interest rates. As the Fund's units are also linked mortgages, a rise in prevailing interest rates may lead to a decline in the value of the underlying mortgage portfolio, consequently reducing the value of the collateral backing the units and diminishing the market price of the Fund's units themselves. *While interest rate risk is a systemic risk that cannot be fully eliminated, its severity can be minimized through a strategic combination of various mortgage maturities within the portfolio. This diversification across different tenors helps to buffer the overall portfolio against adverse interest rate movements.*
Currency Risk	The prevailing monetary environment is characterized by frequent monetary policy shifts ("flip-flops"), a currency conundrum, and significant exchange rate volatility. These factors pose a material risk of loss of value for both the Fund's assets and the investment held by unitholders. *Both the underlying mortgage portfolio and the units of the Fund shall be referenced to the United States Dollar (USD). Furthermore, a robust mechanism for tracking value, independent of local monetary developments, will be implemented to safeguard against such volatility.*
Prepayment Risk	Prepayments by homeowners (i.e., servicing mortgages ahead of their scheduled timelines) can potentially cause a disruption to the anticipated cash flow to the Mortgage-Backed Securities (MBS) investors. *Fund will ensure that re-investments of prepaid principal are made at interest rates equivalent to or higher than the initial rates. The mortgages will have minimum repayment periods to provide a degree of cashflow predictability.*
Liquidity Risk	Mortgages typically have longer maturities than other fixed-income securities. This may subject the units (mortgage-based securities) of the fund to liquidity risk, especially in situations involving early redemptions – difficulty in converting a pool of mortgages into cash quickly and at a fair

	price. *The Fund will actively diversify its mortgage loan portfolio across different maturities. Further, the Fund will maintain sufficient cash reserves or ensure ready access to liquid facilities to address potential; liquidity shortfalls.*
Legal & Regulatory Risks	
Legal Risk	Potential Legal risks to the Fund include, but are not limited to, disputes concerning the legal title of properties, exposure to ongoing litigation, and liabilities arising from unpaid property dues. *The Fund with the assistance of the Legal Advisor, will implement rigorous due diligence processes for all property acquisitions, including comprehensive title searches for all transactions, and securing title insurance where available and appropriate.*

6. General Disclosures

6.1 Fund NAV Calculations

The Fund's Net Asset Value (NAV) shall be calculated daily. NAV represents the total fair value of the Fund's assets less any liabilities, divided by the number of units in issue. Assets include the mortgage loan portfolio (valued at amortized cost or fair value), cash and cash equivalents, and inventory of serviced residential stands. Liabilities include accrued fees, expenses, and any other financial obligations of the Fund. The NAV per unit will be used to determine subscription and redemption prices and will be published to all unit holders in the Fund's periodic reports and website **eagleasset.co.zw**. The Fund Manager, in consultation with the Trustee and Auditor, shall ensure that the NAV is calculated accurately, consistently, and transparently in compliance with the Trust Deed and applicable regulations.

6.2 Fund termination

The Fund may be terminated by the Commission based on provisions in the Act, Rules, or Trust Deed, including where continuation would be detrimental to Unitholders or the market. Termination may also occur upon written notice from the Manager with Commission approval, or upon request by the Trustee and Manager. If registration is cancelled, all unit transactions are suspended, and the Fund is wound up. The Manager, under Trustee supervision, will liquidate assets, settle liabilities, and distribute net proceeds to Unitholders. The Commission may appoint a liquidator if it initiates termination.

6.3 Issuing and Redemption of Units

- The number and value of Units created shall be determined and issued by the Manager with the approval of the Trustee and in respect of each issue of Unit the Trustee shall receive on behalf of the Scheme an amount equal to the value of the Units being issued; or a transfer of investments of equivalent value acceptable to the Trustee;

- Units shall only be redeemed by the Manager and upon or as soon as practicable after each redemption of Units the Trustee shall from the property of the Scheme-pay to the redeeming Participant an amount in Dollars equal to the value of the Units being redeemed; or

- Transfer to the redeeming Participant, investments selected by the Manager and approved by the Trustee equivalent in value to the Units being redeemed.

- The Manager shall be responsible for obtaining all required consents and approvals for the offer and issue of Units and for the issue, publication or circulation of the Prospectus.

- The price payable to the Trustee for each Unit issued during the period of initial offer (if any) of the Scheme shall not be less than One (1) Dollar less the preliminary charge (if any) payable to the Manager.

- Except as provided herein, the Units shall be offered through the registered offices of the Manager at its authorized offices or branches.

- To the extent that it may be relevant and applicable, the initial offer period shall terminate immediately if the Manager considers that fluctuations in the value of the Scheme as monitored by it under this Trust Deed mean that the issue price of the Units would exceed the initial price by more than two per centum (in each case excluding any preliminary charge payable to the Manager).

- To the extent that it may be relevant and applicable, units may be issued or redeemed as soon as it is reasonably practicable after the Valuation Point and by reference to the value of the property of the Scheme at the Valuation Point;

- The Manager shall have the authority to reject any application for Units on reasonable grounds;

- The Manager shall be empowered to issue Units in exchange for investments eligible to be held by the Scheme with the basis for the issue of such Units being the same value (or as near as possible) as that for the issue of Units for cash;

- The Trustee shall be empowered, at the discretion of the Manager and with the consent of the redeeming Participant, to transfer out of the Scheme investments selected by the Manager in exchange for the redemption of Units, such investments to be as nearly as possible of the same value as that for the redemption of the Units for cash;

- In the event of a redemption of Units of a value representing not less than five per centum of the Units in issue, the Trustee shall be empowered, without the consent of the redeeming Participant, to transfer investments of an equivalent value out of the Scheme in exchange for that redemption;
- The price at which Units are to be issued to a Participant shall be the price calculated at the next Valuation Point following receipt by the Manager of the Participant's request for Units;
- Payment for Units issued shall be made to the Trustee within seven (7) working days of the date of issue;
- The Manager shall, as soon as practicable after each Valuation Point, publish a statement of the Net Asset Value of the Scheme and the Units issue following such valuation on the website of the securities exchange where it is listed or in a national daily newspaper in circulation in Zimbabwe, via email circulation, its website, through online publications linked to the Securities and Exchange Commission of Zimbabwe website.

6.4 Exchange Listing and Trading

- The units shall not be listed on any Securities Exchange.
- There can be no guarantee that the units will remain unlisted.

6.5 Valuation Of the Assets of the Fund

The assets and liabilities of the Fund shall be valued quarterly by an internal valuer and once annually by an independent external valuer.

- The Manager shall have the authority to make additional valuations at its discretion subject to the Manager giving notice to the Trustee of its intention in this regard.
- During the Initial Offer Period, the Manager shall monitor daily, the value of the Deposited Property with a view to considering whether the Initial Offer Period should be terminated as envisaged by the Rules;

- Subject to the Rules and any guidelines issued by the Commission with respect to the valuation of any assets, including assets for which no quotation exists for the time being, the following basis of valuation of the property of the Scheme is hereby adopted:
  - The assets of the Scheme shall be valued at the open market value as determined by a certified valuer;
  - The value of the Units held by the Scheme in other Schemes shall be the Manager's quoted Bid Price;
  - Cash and current deposit accounts are to be taken at nominal value unless the Manager considers, with the agreement of the Trustee, that a different value is appropriate;
  - Other property, not being contingent liability transactions, shall be taken at such amount as represents the Manager's reasonable estimate of its value as approved by the Trustee;
  - Contingent liability transactions shall be valued at net premium receivable or the value of the margin on closing out, as may be appropriate;
  - Where the Minister has prescribed a method of valuation for any assets, including assets for which a quotation is lacking at any time, such assets shall be valued in the manner prescribed by the Minister.
- Valuation shall be made in United States Dollars and where applicable converted from another currency at the rate of exchange prevailing when the valuation is made.
- The valuation of the property of the Scheme shall make provision for the issue and redemption of such Units for which orders have been given to the Trustee and are pending at the time of the valuation and for the acquisition or disposal of property in respect of which contracts have been unconditionally made but are uncompleted at the time of valuation;
- Any value shall be reduced by the amount of estimated liabilities, including tax on realised capital gains and accrued tax on income, and of borrowings, accrued but unpaid interest on borrowings, and other liabilities accrued but unpaid.

6.6 Annual Reports and Taxation

Annual reports for the period ending 31 December shall be published not later than the 31st of March the following year. The annual reports shall be made available on the issuer's website. The Fund is taxable.

7. Documents Available for Inspection

1. Fund Trust Deed

2. Fund Manager Incorporation Documents